

Business Management Systems

Models

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We respectfully acknowledge the Kaurna, Boandik, and Barngarla First Nations Peoples and their Elders past and present, who are the Traditional Owners of the lands that are home to our campuses across Adelaide and South Australia.

Models

- We use several models to help us understand
 - Business model
 - What is value
 - Industry and business structures
 - How information flows

Business Model

- A business model basically expresses how an organisation provides a valuable product and service and how it monetises it.
- In such a model one must identify products, suppliers, customers, and perhaps the governance framework.

Value

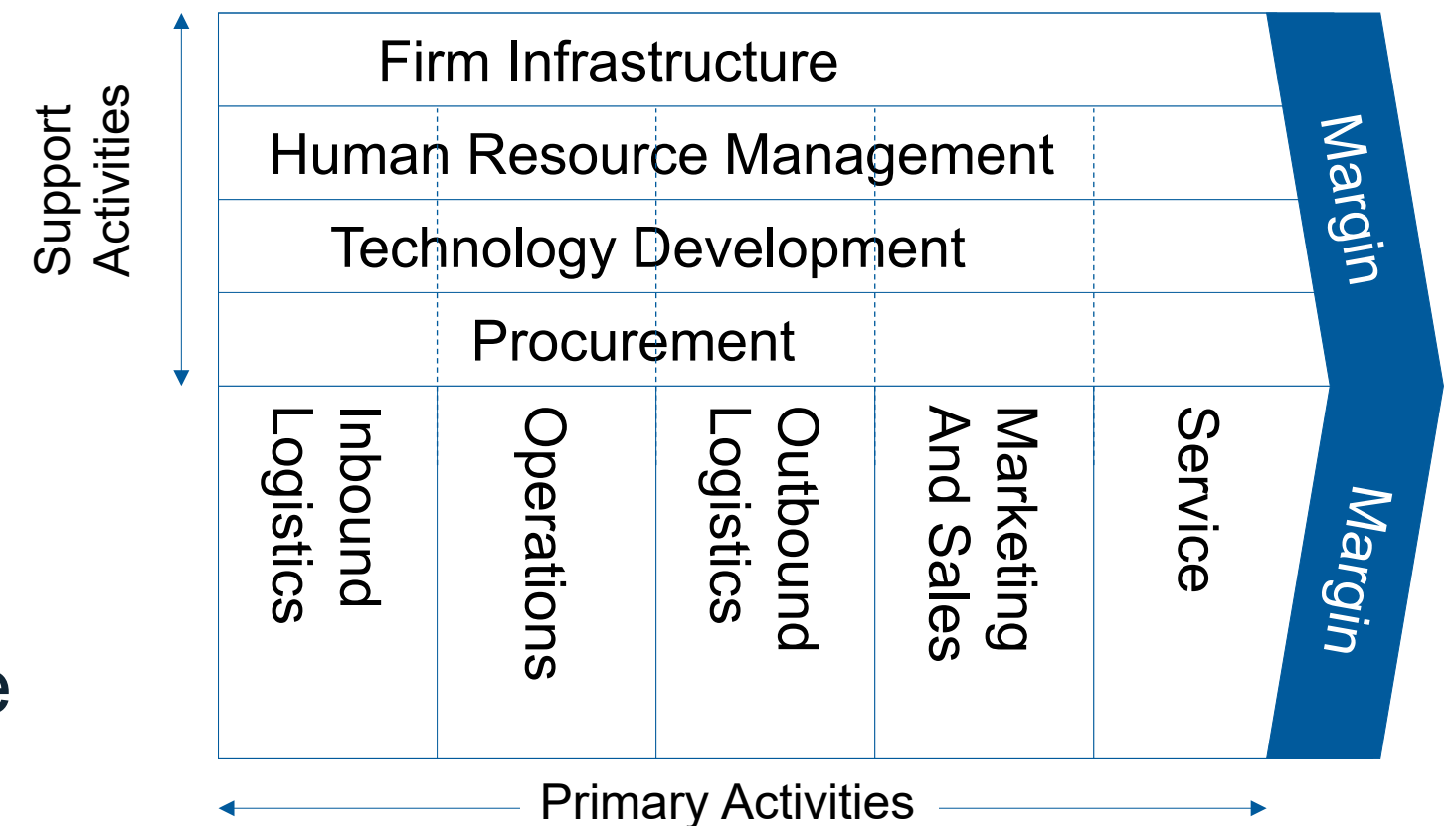
- A product must provide a value...
- But what is value?!
 - For our purpose here:
“Something that a customer is willing to pay money for.”
 - Note that the customer may not be the actual user of the service
- In designing a business model, one first tries to create a value model

Value Model

- Value model consists of
 - Value Proposition: key value drivers and elements: what is important to the end-user. Examples?
 - Value Configurations: how different players work together to create value, distribute it and consume it, for example how a mobile service is delivered and who are the players that make it possible, it is shown in Value Chains and Value Systems

Value Chain

- Value chain is the activities that are carried out by a company to produce a value. It consists of:
 - Primary activities, such as logistics, manufacturing, marketing
 - Support activities, such as human resource management, R&D
- Each of these activities incurs some cost. To these is added a profit margin, which indicated the monetary value of the service provided by the firm.



Value System

- We can define a value system to be an extension of a value chain, where several organisation combine to deliver a value to the customer
- For example, the supplier value chain, the retail channel value chain, the buyer's value chains etc.



Pricing

- A value proposition leads to a price a customer is willing to pay
- The price may be determined in two ways:
 - Value-based pricing: when the value of a good to an end customer determines the price



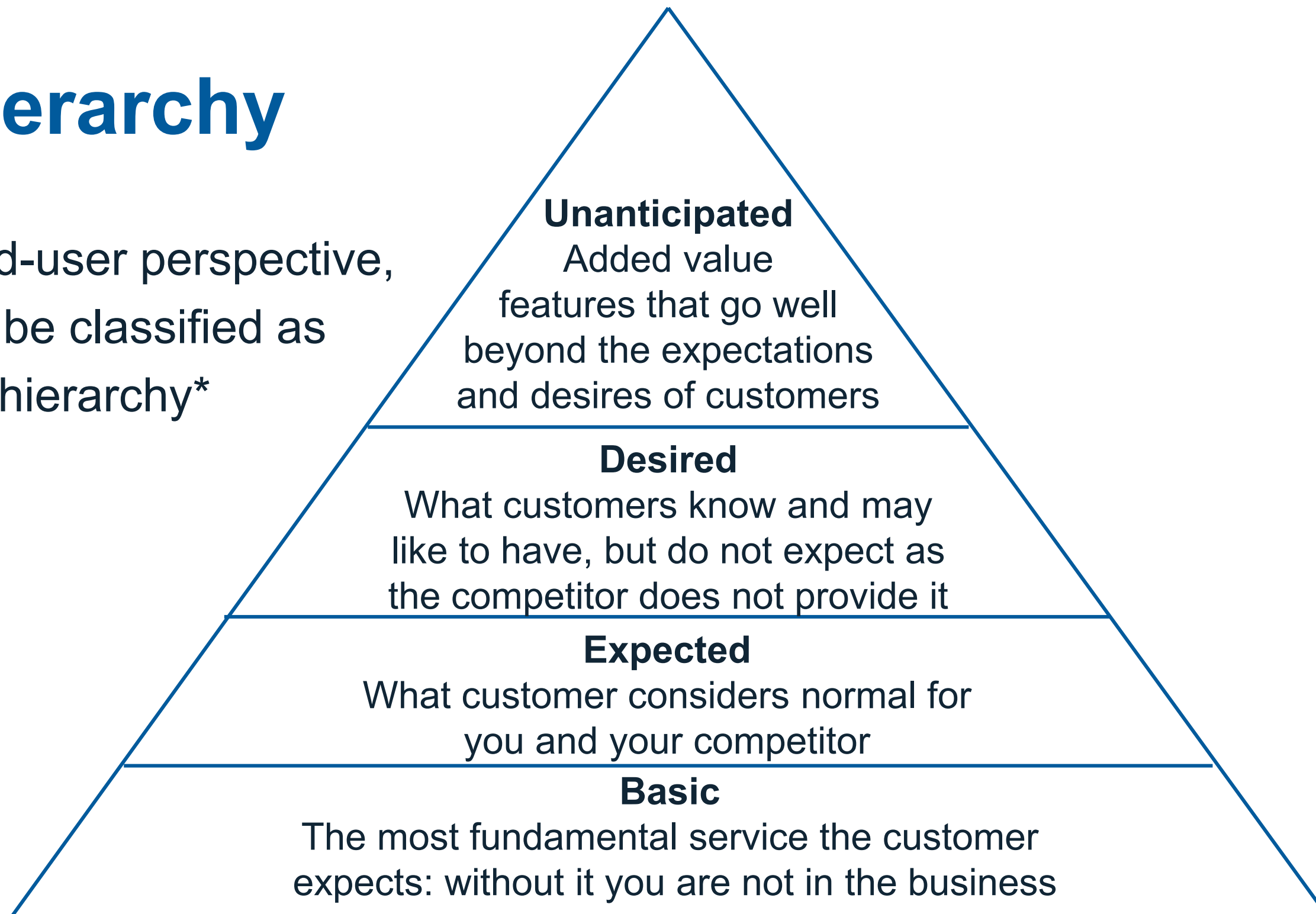
- Cost-based pricing: in a competitive market the price falls to cost of production plus a nominal margin



- Examples?

Value Hierarchy

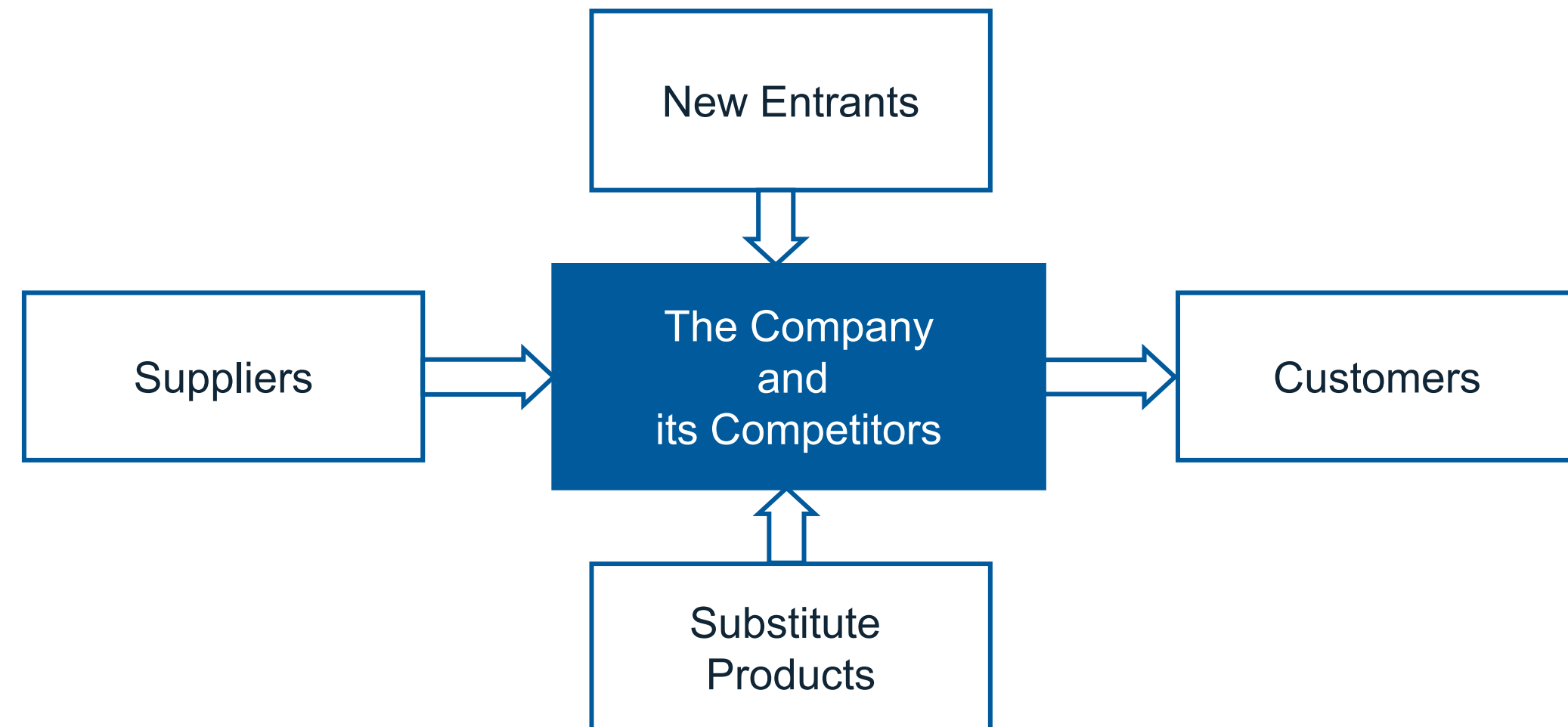
- From an end-user perspective, values may be classified as a four-level hierarchy*



*Source: Albrecht, K., "Customer Value", Executive Excellence, 1994.

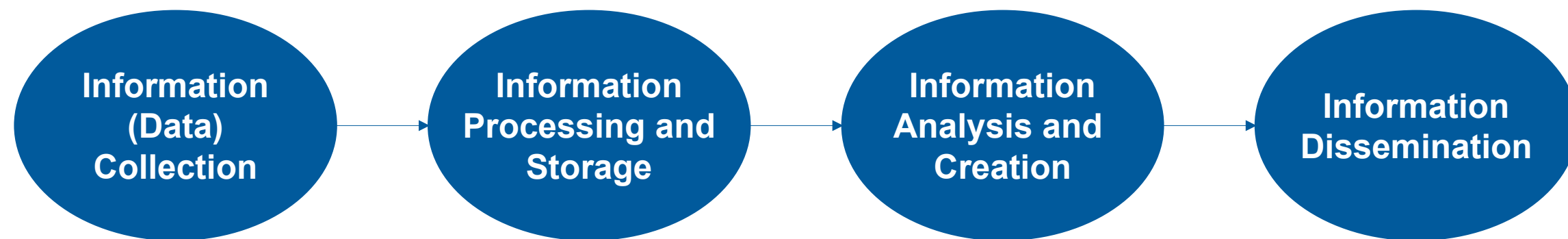
Porter's Five Forces

- Porter's five forces helps define the competitive environment for a product



Information Flow Model

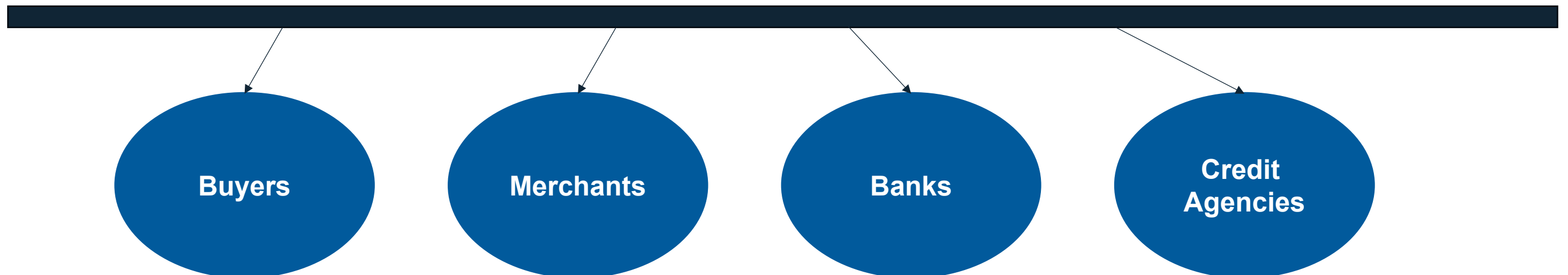
- We define a model based on which we can understand ‘information’ assets of an organisation and how it may be enhanced



- We call this as the Information Flow Model.
- While it is drawn as a linear process, there exist many feedback links and, and dynamic interaction
- The model defines processes that have existed for millennia

Platform Businesses

- Some businesses create a platform through which information flows between different entities
- Many such businesses exist (and have existed for a long time)
 - Example: Visa card platform



Summary

- We defined several models that help us analyse businesses
- Remember the aim is to understand how business models work, and how we create value.